



# Lecture 8

## **Developing an Effective Business Model**

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# What is a Business Model?

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## Model

- A model is a plan or diagram that's used to make or describe something.

## Business Model

- A firm's business model is its plan or diagram for how it competes, uses its resources, structures its relationships, interfaces with customers, and creates value to sustain itself on the basis of the profits it generates.
- The term “business model” is used to include all the activities that define how a firm competes in the marketplace.

# Dell's Business Model

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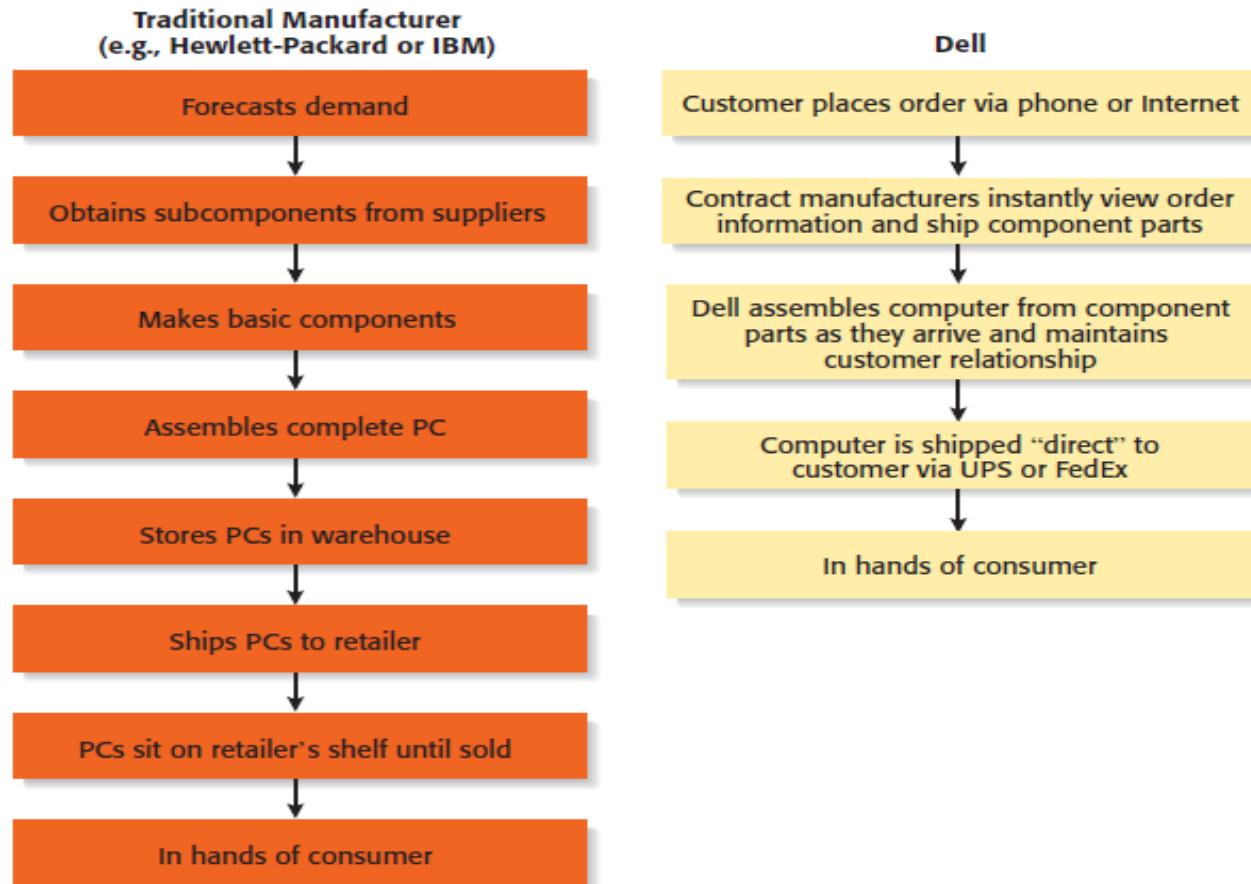
- It's important to understand that a firm's business model takes it beyond its own boundaries.
- Almost all firms partner with others to make their business models work.
- In Dell's case, it needs the cooperation of its suppliers, customers, and many others to make its business model possible.



# Dell's Business Model

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## Dell's Approach to Selling PCs versus Traditional Manufacturers



# The Importance of Business Models

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Having a clearly articulated business model is important because it does the following:

- Serves as an ongoing extension of feasibility analysis. A business model continually asks the question, “Does this business make sense?”
- Focuses attention on how all the elements of a business fit together and constitute a working whole.
- Describes why the network of participants needed to make a business idea viable are willing to work together.
- Articulates a company’s core logic to all stakeholders, including all employees.

# Diversity of Business Models

## Diversity or Variety in Business Models

- There is no standard business model for an industry or for a target market within an industry.
- However, over time, the most successful business models in an industry predominate.
- There are always opportunities for business model innovation.



# General Categories of Business Models

| Business Model                       | Representative Companies    |
|--------------------------------------|-----------------------------|
| Advertising Business Model           | Google, Facebook            |
| Auction Business Model               | eBay, olx                   |
| Bricks and Clicks Business Model     | Apple, Barnes & Khadi       |
| Franchise Business Model             | KFC, Marriot                |
| Freemium Business Model              | Dropbox, Evernote           |
| Low-Cost Business Model              | Southwest Airlines, Walmart |
| Manufacturer/Retailer Business Model | Apple, Fitbit, Tesla Motors |
| Peer-to-Peer Business Model          | Airbnb, Uber                |

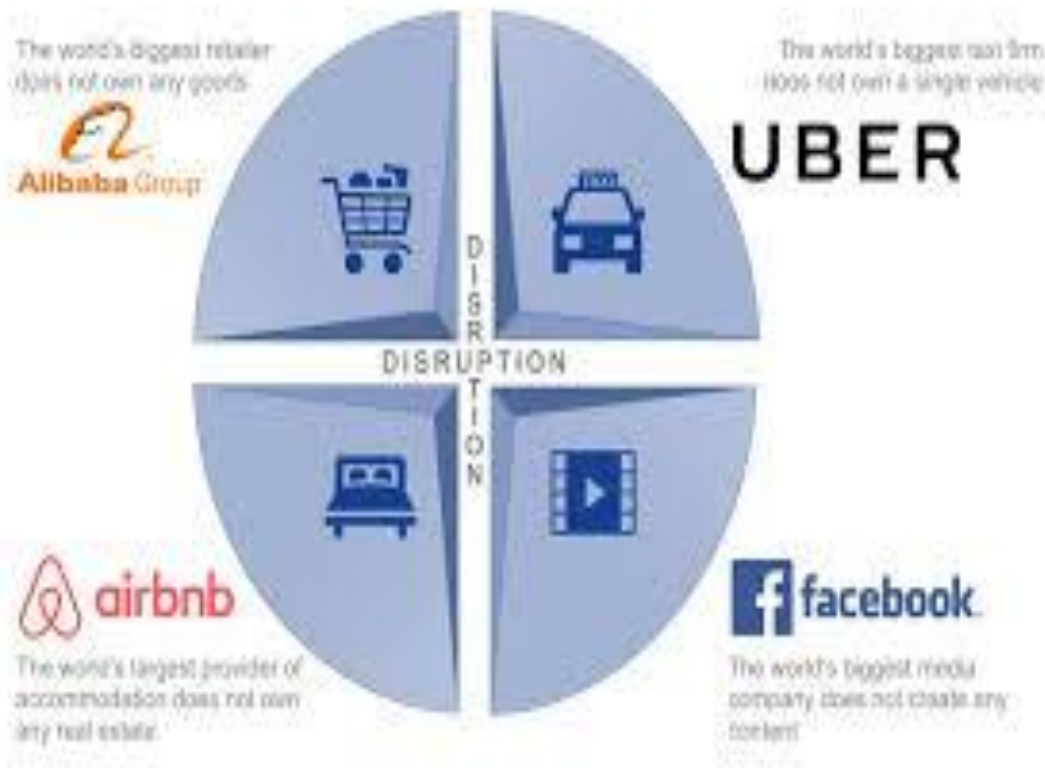
# General Categories of Business Models (cont.)

Standard Business Models

| Business Model                      | Representative Companies                             |
|-------------------------------------|------------------------------------------------------|
| Razor and Blades Business Model     | Game Consoles and Games, Printers and Ink Cartridges |
| Subscription Business Model         | Birchbox, Blue Apron, Netflix                        |
| Traditional Retailer Business Model | Whole Foods Markets, Zappos                          |



# Understanding Disruptive Business Models



Have you ever wondered why businesses like Uber, Airbnb, and Netflix not only compete but have also transformed their industries entirely? Their business models are disruptive, and this is the secret. These are not merely business strategies; they are transforming customer thinking, behavior, and purchasing decisions.

In the modern digital era, the old models are becoming a thing of the past, and disruptive models are setting the pace of the future. As an entrepreneur, student, or business enthusiast, these game-changing models can present you with exciting opportunities, whether you know them or not.

# On Demand Business Model

The on-demand model is one of the most disruptive business models in recent years. This model enables businesses to provide products and services to customers on an as-needed basis, without the need for them to commit to a long-term contract or purchase.



This model has been popularized by companies such as Uber, which allows customers to order a ride with the click of a button, and Airbnb, which makes it easy for people to find short-term accommodation in cities around the world.





# Pyramid Model

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It involves a company offering a product or service at a **lower price than its competitors. To make up for the lower prices, the company offers a higher-quality product or service.**

This disruptive business model is often used by companies that are trying to disrupt an existing market. By offering a lower price and a higher quality product, the company can attract new customers and take market share away from its competitors.

Participants attempt to make money solely by recruiting new participants, usually where: The promoter promises a high return in a short period of time; No genuine product or service is sold; and.

The primary emphasis is on recruiting new participants



# Experience Model

The experience model is based on the premise that businesses can create more value for their customers by providing them with an exceptional customer experience.

This customer experience can be delivered in several different ways. The focus, however, should always be on delivering value to the customer.

One of the most well-known examples of this model is Apple, which has built its entire business around providing its customers with an exceptional user experience.





# Access Over Ownership Model

In recent years, there has been a shift from an ownership model to an access model in many industries. With the rise of the sharing economy, consumers are increasingly valuing access over ownership.

There are several reasons for this trend. First, it is more affordable to access items than to own them. Second, it is easier and more convenient to access items than to own them.

However, the access over ownership model is disrupting several industries, including transportation, lodging, media, and retail.

# BlaBlaCa

# Marketplace Model

In the marketplace business model, companies connect buyers and sellers to enable transactions. They may take a commission from each transaction or charge a subscription fee to list products or services.

Some of the most successful marketplaces are those that focus on a niche market or sector. For example, Etsy is a marketplace for handmade goods and vintage items, and Upwork is a marketplace for freelancers to find work.



Etsy







# Ecosystem Model

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In this disruptive business model, a company creates a system of interconnected products and services that are designed to work together to meet the needs of the customer.

The company then uses this system to create value for the customer by providing a better experience, more convenience, or lower cost.

The most successful example is Amazon, which has created a vast ecosystem of products and services that work together to meet the needs of its customers.



# Business Model Innovation



Netflix is an example of a business model innovator.



# How Business Models Emerge

1 of 3

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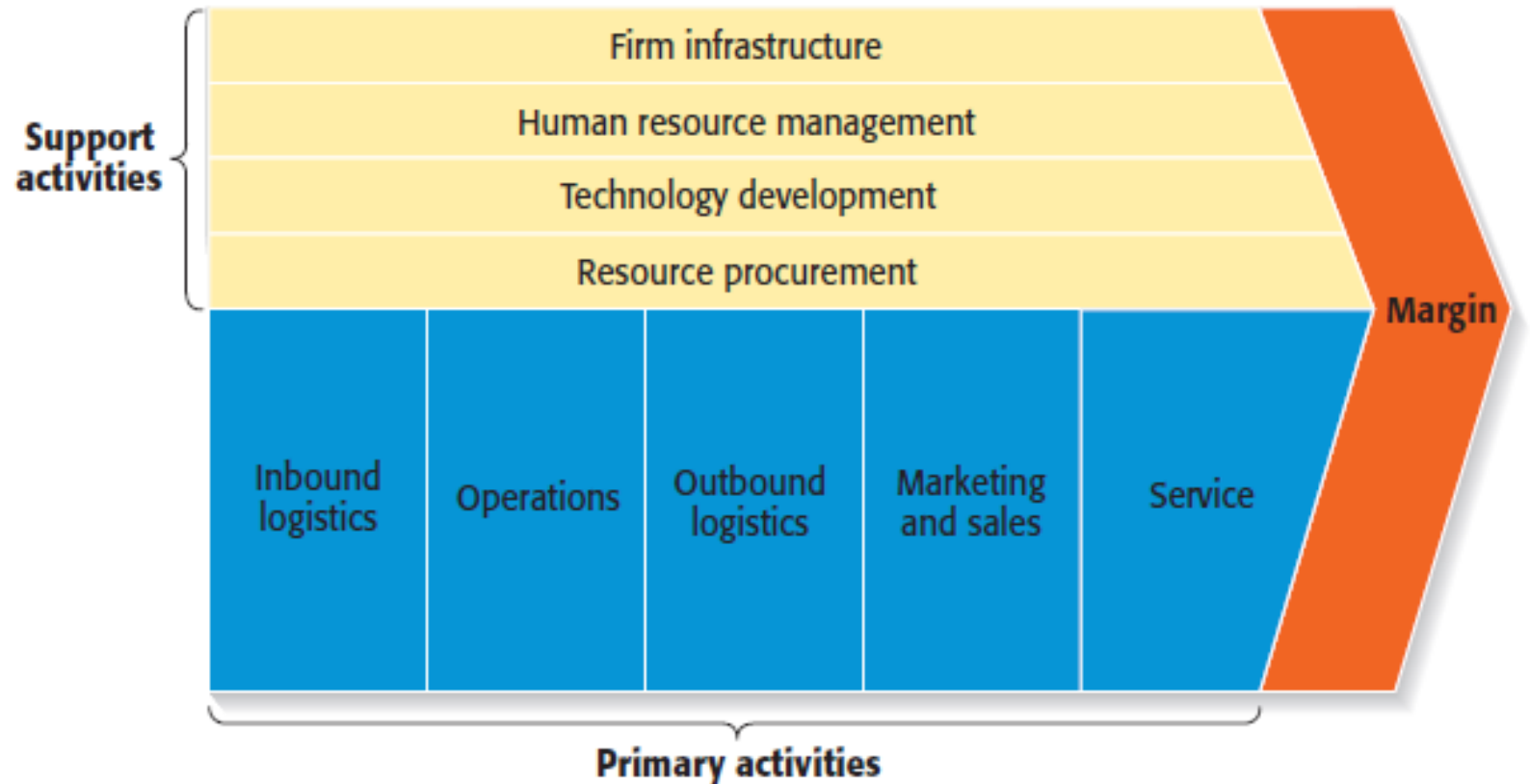
## The Value Chain

- The value chain is the string of activities that moves a product from the raw material stage, through manufacturing and distribution, and ultimately to the end user.
- By studying a product's or service's value chain, an organization can identify ways to create additional value and assess whether it has the means to do so.
- Value chain analysis is also helpful in identifying opportunities for new businesses and in understanding how business models emerge.

# How Business Models Emerge

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## The Value Chain



# How Business Models Emerge

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## The Value Chain (continued)

- Entrepreneurs look at the value chain of a product or a service to pinpoint where the value chain can be made more effective or to spot where additional “value” can be added.
- This type of analysis may focus on:
  - A single primary activity such as marketing and sales.
  - The interface between one stage of the value chain and another, such as the interface between operations and outgoing logistics.
  - One of the support activities, such as human resource management.

# Potential Fatal Flaws in Business Models

## Fatal Flaws

- Two fatal flaws can render a business model unsustainable from the beginning:
  - A complete misread of the customer.
  - Utterly unsound economics.

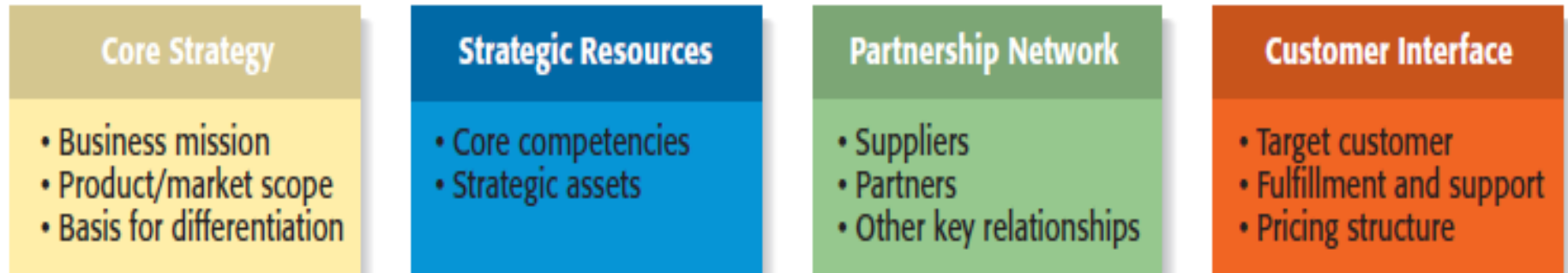


**Pets.com sported an unsound business model, and failed.**

# Components of a Business Model

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## Four Components of a Business Model



# Core Strategy

1 of 3

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## Core Strategy

- The first component of a business model is the core strategy, which describes how a firm competes relative to its competitors.

## Primary Elements of Core Strategy

- Mission statement.
- Product/market scope.
- Basis for differentiation/ Value Proposition

# Core Strategy

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## Primary Elements of Core Strategy

|                             |                                                                                                                              |
|-----------------------------|------------------------------------------------------------------------------------------------------------------------------|
| <p>Mission Statement</p>    | <p>A firm's mission, or mission statement, describes why it exists and what its business model is suppose to accomplish.</p> |
| <p>Product/Market Scope</p> | <p>A company's product/market scope defines the products and markets on which it will concentrate.</p>                       |



# Core Strategy

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## Primary Elements of Core Strategy

|                                     |                                                                                                                                                                                                                                                      |
|-------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <p>Basis of<br/>Differentiation</p> | <p>It is important that a new venture differentiate itself from its competitors in some way that is important to its customers. If a new firm's products or services aren't different from those of its competitors, why should anyone try them?</p> |
|-------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|

# Strategic Resources

1 of 3

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## Strategic Resources

- A firm is not able to implement a strategy without resources, so the resources a firm has affects its business model substantially.
- For a new venture, its strategic resources may initially be limited to the competencies of its founders, the opportunity they have identified, and the unique way they plan to serve their market.
- The two most important strategic resources are:
  - A firm's core competencies.
  - Strategic assets.

# Strategic Resources

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## Primary Elements of Strategic Resources

|                   |                                                                                                                                                                                                                                |
|-------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Core Competencies | <p>A core competency is a resource or capability that serves as a source of a firm's competitive advantage.</p> <p>Examples include Sony's competence in miniaturization and Dell's competence in supply chain management.</p> |
| Strategic Assets  | <p>Strategic assets are anything rare and valuable that a firm owns. They include plant and equipment, location, brands, patents, customer data, a highly qualified staff, and distinctive partnerships.</p>                   |

# Strategic Resources

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## Importance of Strategic Resources

- New ventures ultimately try to combine their core competencies and strategic assets to create a sustainable competitive advantage.
- This factor is one that investors pay close attention when evaluating a business.
- A sustainable competitive advantage is achieved by implementing a value-creating strategy that is unique and not easy to imitate.
- This type of advantage is achievable when a firm has strategic resources and the ability to use them.

# Partnership Network

1 of 3

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## Partnership Network

- A firm's partnership network is the third component of a business model. New ventures, in particular, typically do not have the resources to perform key roles.
- In most cases, a business does not want to do everything itself because the majority of tasks needed to build a product or deliver a service are not core to a company's competitive advantage.
- A firm's partnership network includes:
  - Suppliers.
  - Other key relationships.

# Partnership Network

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## Primary Elements of Partnership Network

|                         |                                                                                                                                                                                                                                                  |
|-------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Suppliers               | A supplier is a company that provides parts or services to another company. Intel is Dell's primary supplier for computer chips, for example.                                                                                                    |
| Other Key Relationships | Firms partner with other companies to make their business models work. An entrepreneur's ability to launch a firm that achieves a competitive advantage may hinge as much on the skills of the partners as on the skills within the firm itself. |

# Partnership Network

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## The Most Common Types of Business Partnerships

**Table 6.4** THE MOST COMMON TYPES OF BUSINESS PARTNERSHIPS

| Partnership Form   | Description                                                                                                                                                                                                                                         |
|--------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Joint venture      | An entity created by two or more firms pooling a portion of their resources to create a separate, jointly owned organization                                                                                                                        |
| Network            | A hub-and-wheel configuration with a local firm at the hub organizing the interdependencies of a complex array of firms                                                                                                                             |
| Consortia          | A group of organizations with similar needs that band together to create a new entity to address those needs                                                                                                                                        |
| Strategic alliance | An arrangement between two or more firms that establishes an exchange relationship but has no joint ownership involved                                                                                                                              |
| Trade associations | Organizations (typically nonprofit) that are formed by firms in the same industry to collect and disseminate trade information, offer legal and technical advice, furnish industry-related training, and provide a platform for collective lobbying |

# Customer Interface

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## Customer Interface

- The way a firm interacts with its customer hinges on how it chooses to compete.
  - For example, Amazon.com sells books over the Internet while Barnes & Noble sells through its traditional bookstores and online.
- The three elements of a company's customer interface are:
  - Target customer.
  - Fulfillment and support.
  - Pricing model.



# Customer Interface

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## Primary Elements of Customer Interface

|                         |                                                                                                                                                                                            |
|-------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Target Market           | A firm's target market is the limited group of individuals or businesses that it goes after or tries to appeal to.                                                                         |
| Fulfillment and Support | Fulfillment and support describes the way a firm's product or service reaches its customers. It also refers to the channels a company uses and what level of customer support it provides. |

# Customer Interface

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## Primary Elements of Customer Interface

### Pricing Structure

The third element of a company's customer interface is its pricing structure. Pricing models vary, depending on a firm's target market and its pricing philosophy.

# Recap: The Importance of Business Models

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## Business Models

- It is very useful for a new venture to look at itself in a holistic manner and understand that it must construct an effective “business model” to be successful.
- Everyone that does business with a firm, from its customers to its partners, does so on a voluntary basis. As a result, a firm must motivate its customers and its partners to play along.
- Close attention to each of the primary elements of a firm’s business model is essential for a new venture’s success.